# Stock selection strategy

Start with the market and narrow the search to stocks building a new uptrend.

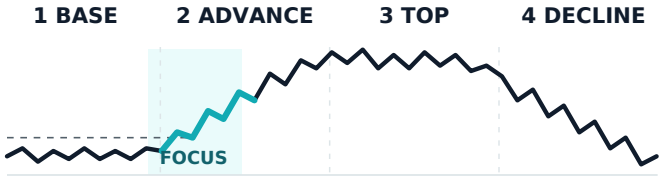
## 1 Narrow the search

**What is the market doing?**
Weekly Outlook

**Which sectors are moving?**
Sector Gauge

**Stocks in leading ETFs**
Stage 1 base to an early Stage 2 transition

## 2 Read the stage



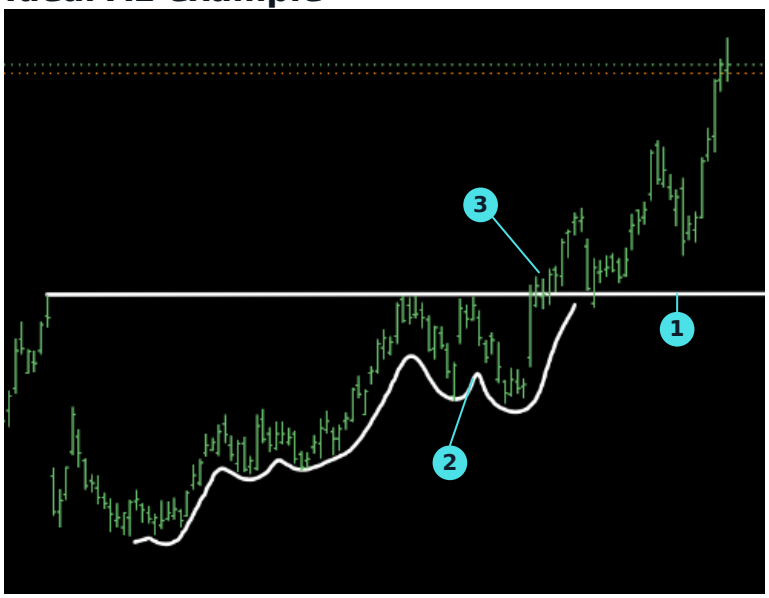

Illustrative cycle

Stage 1 is a base. Early Stage 2 starts as price clears resistance and a new uptrend begins.

Classic stage analysis uses the weekly trend and 30-week moving average.

## Ideal A1 example

ZS | ZSCALER | DAILY




TradingView chart supplied by Justin, Oct 28 2026. Detail view of the 2026 base and breakout.

**1 Resistance near $191**
Repeated tests define the level that price needs to clear.

**2 Coiling beneath resistance**
Higher lows build into a tightening base. This is the setup before the breakout.

**3 Breakout into early Stage 2**
Price clears resistance, then advances. The coil alone is not confirmation.

Real setups vary. An ideal pattern does not guarantee an outcome.

## 3 Layer in as many confluences as possible

Use the checks together, not as standalone buy signals. MA = moving average.

- [ ] Is the 50-day MA moving up?
- [ ] Is the 200-day MA moving up?
- [ ] Is the 50-day MA above the 200-day MA?
- [ ] Is revenue growing? — View in TrendSpider
- [ ] What is the InvestingPro rating? — Open InvestingPro
- [ ] What are the analyst targets in InvestingPro? — Open InvestingPro
- [ ] What are the Seeking Alpha ratings and Quant rating? — Open Seeking Alpha
- [ ] Is there bullish insider or institutional activity?
- [ ] When are earnings, and what did the last earnings update show?

**Confluences support a thesis, not a guarantee. Plan risk; earnings can cause sharp price gaps.**

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Stage framework: Stan Weinstein. Stage analysis overview